Denka

4061.T | Tokyo Stock Exchange Prime | 2026-10-11

Q4 2027 model ceiling: JPY 6,935.71

Analytical Base 39/60 = 65 | Beneficiary with qualified-material bottleneck exposure; Watchlist

20x rolling quarter-plus-next-three fully expensed operating profit attributable to common shareholders, less window-end modeled net financial debt, divided by window-end diluted common shares. Minority operating claims are deducted from each quarter before applying the multiple.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in JPY million and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Growth or re-rating: 69% growth under the owner's sequential-percentage heuristic (31% re-rating / 69% growth). Uses the dated 2026-10-09 15:30 JST close price, Q4 2026 ceiling and Q4 2027 ceiling at the artifact's own valuation basis. This compares two percentage moves with different denominators; it is not an additive return attribution or a measurement of actual P/E expansion. The classification changes with price and forecasts.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	40,938.7	20x	86.632	6,935.71

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

Production depreciation, operating rents, R&D and SG&A remain expensed. A normalized subsidiary-specific minority operating allocation is deducted once from profit; no minority book-equity deduction. Finance-lease principal uses the latest isolated disclosed March2026 balance. Cash/debt inputs follow the adopted funding bridge. Probability and share sensitivity controls hold this funding schedule fixed; rebuild funding before adopting changed operating assumptions.. 20x rolling quarter-plus-next-three fully expensed operating profit attributable to common shareholders, less window-end modeled net financial debt, divided by window-end diluted common shares. Minority operating claims are deducted from each quarter before applying the multiple.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use JPY million unless a different unit is stated.

Investment thesis and classification

Denka sells chemistry that determines how much heat and signal loss a high-speed board can tolerate. SNECTON resin, spherical fused silica and thermal-management fillers give it several routes into advanced electronics. Customer qualification can protect an incumbent formulation because changing the material means repeating electrical, thermal and manufacturing validation. The listed group also owns conventional polymers, elastomers and diagnostics. Those businesses have different cycles and should not inherit an AI valuation narrative automatically.

This is initial coverage under Framework8.0, dated11October2026. Ownership is not established. The analytical score is39/60, or65, a Watchlist result. Qualified materials support the thesis, but Denka has not demonstrated monopoly economics across the group. The company is a beneficiary with selective bottleneck exposure. Its current share price is a dated snapshot for the master workbook and the upside-driver calculation, not a reason to raise the operating forecast.

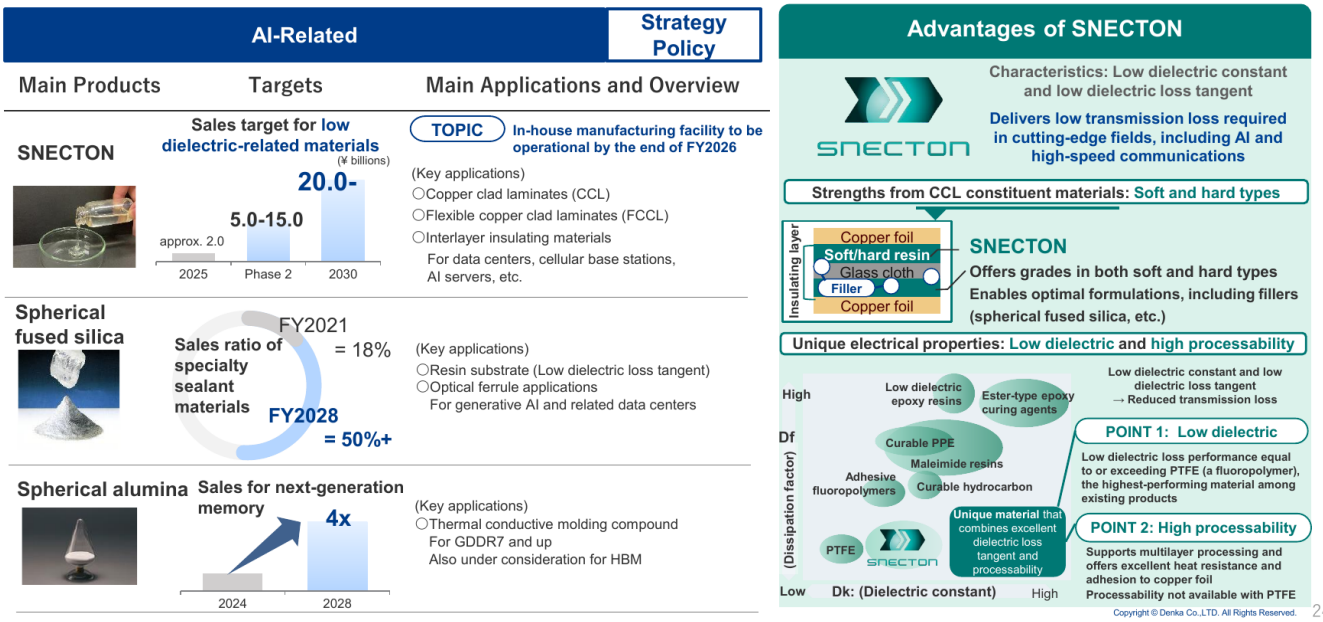
Materials that reduce transmission loss

Low dielectric constant and low dissipation factor are different properties. Lower Dk reduces signal delay; lower Df reduces energy lost in the insulating material. A commercially useful resin also needs copper adhesion, thermal endurance, dimensional stability and laminate processability. Denka's pitch is the combination. The February plan describes soft and hard SNECTON formulations, low-loss spherical silica and alumina for thermal molding compounds. August management evidence is more nuanced than a blanket win: soft material has a completed factory and customer evaluations; the hard type has several competitors and a narrower application focus.

The primary exhibit's low-dielectric materials revenue objective is approximately¥2bn inFY2025, ¥5-15bn during Phase2, and¥20bn-plus in2030. That is a business objective covering low-dielectric-related materials, not a signed order book or a disclosed pure-SNECTON revenue line. The model therefore labels its driver a low-dielectric materials proxy. It embeds¥5bn inFY2027 and¥8bn inFY2028 before adding a65%-weighted acceleration to¥8bn/¥12bn conditional outcomes. The company says silica specialty applications may exceed50% byFY2028, but the amount of that product's revenue is undisclosed. No second silica-wide dollar uplift is invented.

Phase1 is high-speed datacenter boards and power infrastructure. Phase2 includes higher-layer boards, thermal memory packages, automotive electronics and energy storage. Phase3 includes PFAS-free flexible laminates and resin interposers. The early-stage organic-filler opportunity receives25% probability and starts inFY2028. These are adjacent applications of demonstrated materials properties, not independent market sizes multiplied together.

■ **Strategic expansion: Focus on core strengths in advanced thermal management**



Denka Mission2030 p24; JPYbn | Issuer February27 strategy: low-dielectric materials target and silica mix, not a customer award.

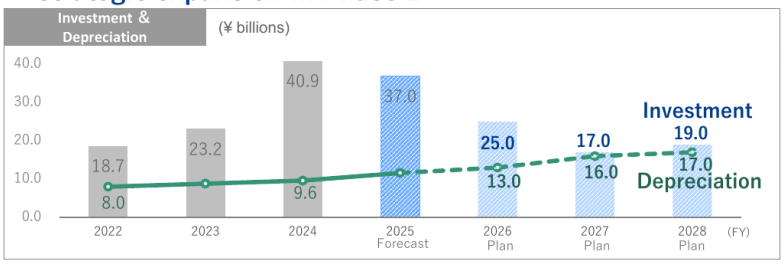
Capacity, qualification and recognition

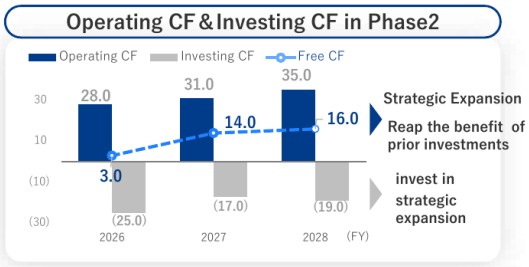
The Chiba SNECTON plant was completed on18May2026 at approximately¥7bn investment. Samples from the facility had shipped by the August briefing. Nameplate tonnage, qualified good-unit capacity, customer ASP and allocation were not disclosed. The relevant bottleneck can move between resin, glass cloth and the customer's lamination process. A resin plant that is mechanically complete is not equivalent to accepted high-volume material sales.

The May and August management Q&A records connect customer adoption to low-dielectric glass-cloth availability. August management expects relevant CCL production around end2026 and phased adoption in2027. The forecast starts material incremental acceleration inFY2027, after the initial ramp already embedded in current guidance. A two-quarter qualification delay cuts the acceleration probability to40% and shifts the branch. Hard-resin capacity is under review rather than assumed fully funded and productive.

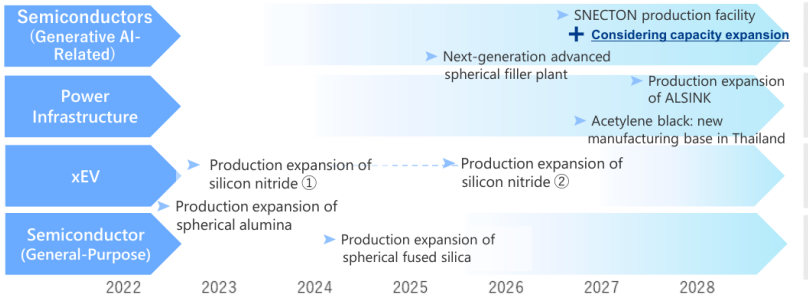
The same capacity exhibit includes Thailand acetylene black, ALSINK, silicon nitride and spherical fillers. These are different products and end markets. The Thailand11,000ton/year figure is acetylene black capacity, not SNECTON capacity. Its new qualified output supports the reference power-infrastructure growth path; it is not added as a second broad AI demand shock.

■ Investment and return: Reap the benefits of strategic investments through Phase 1 and invest in strategic expansion in Phase 2





- Outlook for Market Expansion/Recovery and Startup Timing of Strategic Investments -



- Capacity Expansion and Investments -

Strategic investment	Capacity	Investment
SNECTON production facility	not disclosed	¥7 Bn
+ SNECTON capacity expansion	**Under final review**	**Under final review**
Advanced spherical filler plant	not disclosed	¥5 Bn
Production expansion of ALSINK	1.3 x	not disclosed
Acetylene black: new manufacturing base in Thailand	11,000 tons/year(1.5 x)	$0.4 Bn
Production expansion of silicon nitride	① 1.3 x ② 1.5 x (vs.①)	not disclosed
Production expansion of spherical alumina	5 x (vs. 2018)	not disclosed
Production expansion of spherical fused silica	1.3 x	not disclosed

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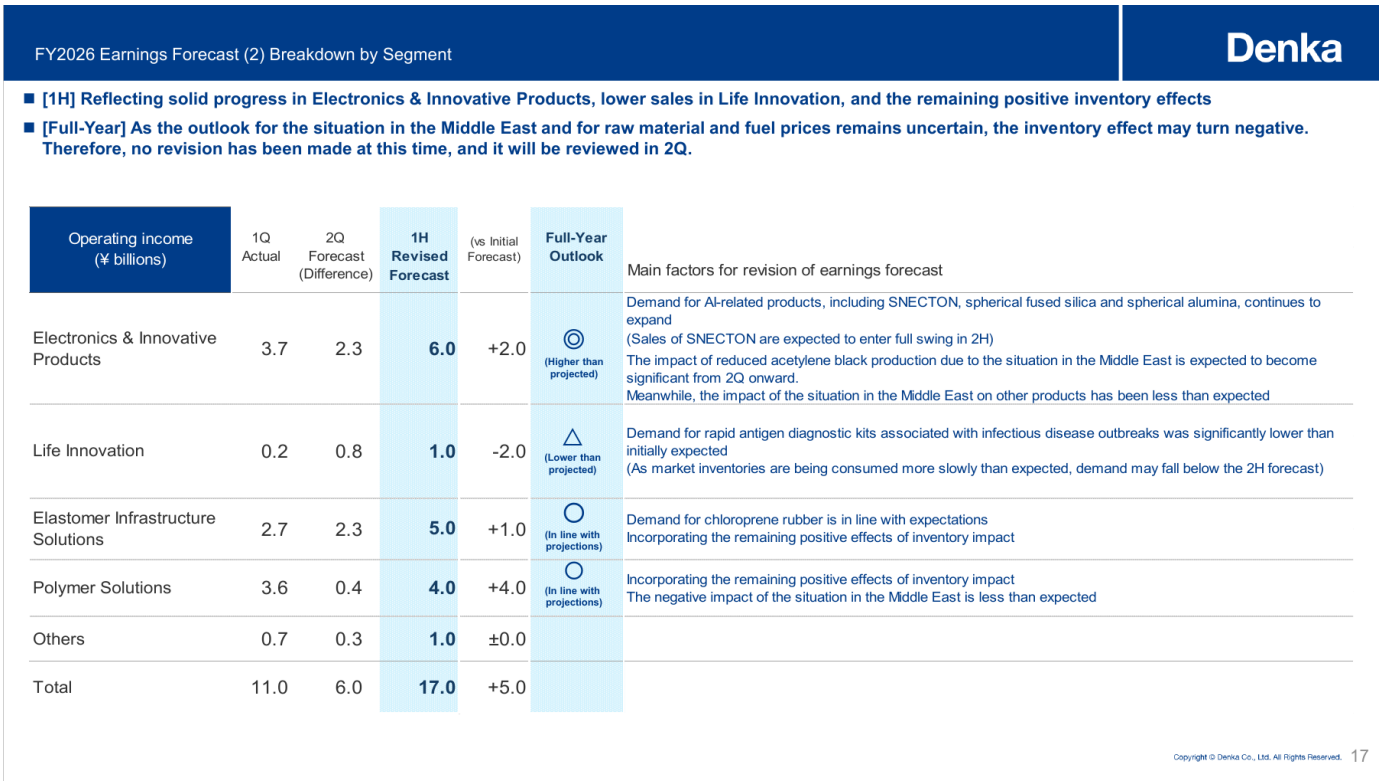
Denka Mission2030 p23 | Issuer investment and capacity schedule. SNECTON tonnage is undisclosed.

Latest management evidence and earnings quality

The two most recent management records reviewed are13May2026 FY2025 fourth-quarter Q&A and7August2026 FY2026 first-quarter CFO remarks/Q&A. The latest reported quarter isApril-June2026: revenue¥96,977m, GP¥28,975m, SG&A¥17,981m, OP¥10,993m and parent net income¥2,843m. The arithmetic of reported GP less SG&A differs from displayed OP by¥1m rounding. Forecast arithmetic retains full precision.

Most of the apparent OP acceleration cannot be extrapolated. Management identifies¥6bn temporary inventory effects and¥3bn year-on-year DPE shutdown benefit inQ1. The full-year shutdown benefit is¥6.2bn, already inside guidance. Inventory gains can reverse as feedstock costs fall. DPE exceptional losses and disposal gains are separately relevant to cash and net income; selling assets does not establish recurring operating growth.

August raised the half-year OP outlook to¥17bn but retained the full-year¥450bn sales/¥30bn OP guide pending the interim update. Electronics demand is stronger, while diagnostic test demand is weaker and Singapore acetylene feedstock remains constrained. The model reconciles the known quarter plus its next three reference quarters exactly to the live annual guide. It does not annualize¥11bn quarterly OP or treat reported resin price increases as equivalent profit increases.



Denka Q1 deck p17; JPYbn | August7 segment commentary and half-year update; these are operating-income figures, not sales.

Reference forecasts and reconciliation

Japanese fiscalFY2026 runsApril2026-March2027. Every operating row and ceiling uses calendar quarters; calendarQ12027 is fiscalFY2026 Q4. The calendarQ42027 ceiling pricesQ42027 throughQ32028. Revenue vectors are the five reported business segments. Product gross margins are analyst proxies because segment GP is not reported; they are never presented as actual company disclosures.

Reference segment revenue inputs forFY2027 are¥120bn electronics, ¥42bn life innovation, ¥107bn elastomers/infrastructure, ¥172bn polymers and¥20bn other. FY2028 uses¥130bn/¥44bn/¥110bn/¥175bn/¥21bn respectively. Electronics follows the issuer's February capacity plan; life innovation explicitly falls below the old¥45bnFY2026 guide to reflect weak test demand. Conventional segments grow slowly. The plannedApril2027 styrenics subsidiary separation is not assumed to be an external disposal: consolidated revenue remains until ownership changes are established.

Reference gross margins forFY2027 are35.5%/40.5%/24%/15%/24.5%, moving to37%/41%/24.5%/15.3%/25% inFY2028. These proxies include production depreciation and yield costs. The model expenses¥17bn/¥18bn R&D and¥60.5bn/¥62.5bn other SG&A inthoseyears. Recurring cost efficiency and mix must earn the improvement. The February medium-term operating-income objectives are a cross-check, not targets reverse-solved by changing the multiple.

Near-term gross-margin proxies and cost amounts are calibrated once to actual reported segment data and the live group guide. This is an explicit initial-model allocation of undisclosed product costs. Future revenue, product margins and expense cohorts are independent numerical inputs. The detailed tables following this narrative expose all18quarters, all branch deltas and the exact15valuation windows. Outer-year assumptions have lower confidence and are not new management guidance.

(Reference) Full-year Forecast (By Segment) (Year on Year)

Denka

(¥ billions)

Sales	FY2025 Actual	FY2026 Forecast (No change)	Incr. Decr.	Volume	Pricing	DPE Production Suspension
Electronics & Innovative Products	104.4	**110.0**	+5.6	-3.6	+9.1	
Life Innovation	40.5	**45.0**	+4.5	+5.1	-0.6	
Elastomers & Infrastructure Solutions	97.6	**105.0**	+7.4	+7.6	+6.1	-6.2
Polymer Solutions	124.2	**170.0**	+45.8	+11.7	+34.1	
Others	17.6	**20.0**	+2.4	+2.4	-	
Total	384.2	**450.0**	+65.8	+23.2	+48.8	-6.2

Operating income	FY2025 Actual	FY2026 Forecast (No change)	Incr. Decr.	Volume	Pricing	Cost and Others	DPE Production Suspension
Electronics & Innovative Products	13.9	**13.0**	-0.9	-0.3	+9.1	-9.7	
Life Innovation	6.2	**6.0**	-0.2	+1.8	-0.6	-1.5	
Elastomers & Infrastructure Solutions	0.1	**7.0**	+6.9	+2.2	+6.1	-7.5	+6.2
Polymer Solutions	3.6	**2.0**	-1.6	-2.5	+34.1	-33.2	
Others	2.4	**2.0**	-0.4	-0.5	-	+0.0	
Total	26.2	**30.0**	+3.8	+0.7	+48.8	-51.9	+6.2

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Denka Q1 deck p21; JPYbn | Still-live FY2026 guidance. Revenue growth includes substantial price pass-through.

Incremental evidence, pricing and cost bridge

The65% qualified-adoption branch applies only to conditional sales above the already modeled low-dielectric path. AtFY2027, (¥8bn-¥5bn)x65% gives¥1.95bn additional expected sales;45% gross contribution minus10% incremental support/R&D yields¥682.5m expected OP. The equivalentFY2028 OP contribution is¥910m. The conditional sales band is¥6-10bn forFY2027 and¥10-15bn forFY2028. Doubling the entire electronics segment would be unsupported.

The pricing branch tests a2% premium on30% of eligible electronics revenue after excluding low-dielectric sales. Probability is35%, with1-3% pricing on20-40% ofthecohort as bounded alternatives. One-quarter of extra revenue is reserved for higher input and expediting cost, plus5% selling support. This is a net scarcity-spread hypothesis on new/repriceable business. Existing fixed contracts, ordinary mix and cost recovery are already in the reference. TheAugust5sheet-and-tape price notice addresses raw-material inflation and does not prove this premium.

Organic filler has25% probability of¥1bnFY2028 incremental revenue,45% GP and20% launch/R&D burden. It is outside the existing inorganic-material pool, avoiding a second count of the same filler shipment. A40% downside branch captures a further5% life-innovation revenue shortfall, with55% lost contribution and10% selling-cost relief. The full ledger records escalation and reduction tests for each event.

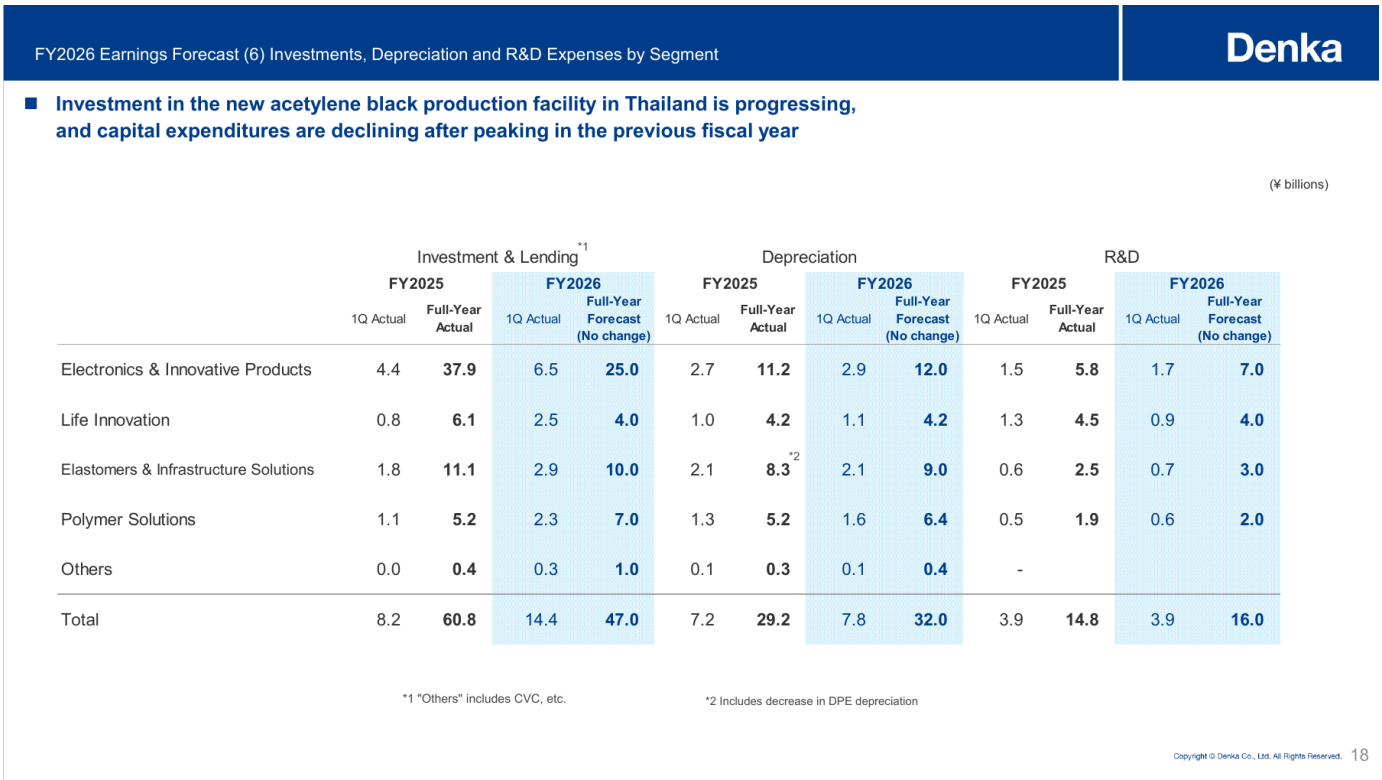
Funding, minority claims and dilution

The June30 filing reports ¥237,876m borrowings, commercial paper and bonds versus ¥37,004m cash. Net debt is ¥200,872m. The complete FY2025 securities report separately identifies ¥598m current and ¥3,255m noncurrent finance-lease liabilities at March31, or ¥3,853m. This replaces the earlier leased-asset proxy. June lease principal is not isolated; a ±¥3bn sensitivity is retained. Operating rentals are already expensed and are not added as a separate debt claim. Finance-lease depreciation remains in operating costs, with principal paid in financing cash.

Minority book equity is not a market-value claim. Q1 minority net loss was ¥905m and FY2025 loss ¥4,443m; capitalizing those losses as a parent benefit would be especially misleading during the DPE shutdown. The annual filing establishes60% ownership of the Thai acetylene-black JV,73.4% Kainos,65% Toyo Styrene and77.5% YK Acros. The model uses a positive normalized minority OP proxy: Thai revenue ¥3/5/8/10/12bn in FY2026-30 at15% OP and40% minority; Kainos ¥5bn at15% OP and26.6% minority; Toyo ¥40bn at2% OP and35% minority; YK ¥24bn at3% OP and22.5% minority. These assumed subsidiary amounts are allocations within existing group revenue, not incremental sales. They produce annual minority OP of ¥821.5/941.5/1,121.5/1,241.5/1,361.5m. A0.5-2x attribution range accompanies them. The same quarterly minority OP is deducted from consolidated operating profit before the20x valuation, replacing the prior book-value proxy entirely.

The funding table explicitly rolls all18 quarters from observed June cash and debt. FY2026 investment and lending of ¥47bn less Q1 ¥14.4bn leaves ¥32.6bn over the next three quarters; depreciation of ¥32bn less Q1 ¥7.8bn leaves ¥24.2bn. Subsequent annual cash investment is ¥45/47/49/51bn, depreciation ¥34/36/38/40bn, with recurring R&D already expensed. Working capital absorbs17% of quarter-to-quarter sales growth, interest is2% of opening debt, cash taxes are32% of positive OP after interest, and the cash floor is ¥35bn. Dividend cash is ¥100 per share per year, paid in Q2/Q4; minority distributions are ¥200m annually. A closure-cash reserve of ¥2bn per quarter in FY2026, ¥1bn inFY2027 and ¥0.5bn inFY2028 is separately funded, without asset-sale or insurance proceeds. All are model assumptions, not debt guidance.

Operating cash minus investment, dividends and finance-lease principal determines borrowing or repayment. Equal modeled new capitalized leases maintain the dated isolated lease balance, with no double cash capex. Issued88.555840m less treasury2.355271m gives86.200569m common shares, growing0.25% annually for net dilution. No buyback is assumed. The valuation applies20x fully expensed consolidated OP, deducts minority OP before the multiple and then subtracts modeled window-end net financial debt, then divides by window-end diluted shares. The quarterly funding rows and minority sensitivity expose the uncertainty rather than calling fixed debt conservative.



FY2026 Earnings Forecast (6) Investments, Depreciation and R&D Expenses by Segment

Denka

■ **Investment in the new acetylene black production facility in Thailand is progressing, and capital expenditures are declining after peaking in the previous fiscal year**

(¥ billions)

	Investment & Lending*1				Depreciation				R&D			
	FY2025		FY2026		FY2025		FY2026		FY2025		FY2026	
	1Q Actual	Full-Year Actual	1Q Actual	Full-Year Forecast (No change)	1Q Actual	Full-Year Actual	1Q Actual	Full-Year Forecast (No change)	1Q Actual	Full-Year Actual	1Q Actual	Full-Year Forecast (No change)
Electronics & Innovative Products	4.4	**37.9**	6.5	**25.0**	2.7	**11.2**	2.9	**12.0**	1.5	**5.8**	1.7	**7.0**
Life Innovation	0.8	**6.1**	2.5	**4.0**	1.0	**4.2**	1.1	**4.2**	1.3	**4.5**	0.9	**4.0**
Elastomers & Infrastructure Solutions	1.8	**11.1**	2.9	**10.0**	2.1	**8.3***2	2.1	**9.0**	0.6	**2.5**	0.7	**3.0**
Polymer Solutions	1.1	**5.2**	2.3	**7.0**	1.3	**5.2**	1.6	**6.4**	0.5	**1.9**	0.6	**2.0**
Others	0.0	**0.4**	0.3	**1.0**	0.1	**0.3**	0.1	**0.4**	-			
Total	8.2	**60.8**	14.4	**47.0**	7.2	**29.2**	7.8	**32.0**	3.9	**14.8**	3.9	**16.0**

*1 "Others" includes CVC, etc.

*2 Includes decrease in DPE depreciation

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Denka Q1 deck p18; JPYbn | Issuer capex, depreciation andR&D bridge; R&D remains expensed.

Competition, cross-book and second-order effects

Denka's specialty resin and filler sales sit upstream ofCCL suppliers and PCB/substrate fabricators. Larger/faster boards can help the chain, but one customer's total board budget is shared among resin, glass cloth, copper, fabrication and assembly. Denka, Resonac, Panasonic, Ajinomoto, Nittobo and Chinese material suppliers can benefit from distinct layers while competing in some formulations. Supplier presence on an ecosystem map is not a customer allocation.

Filler substitution, competing PPE and epoxy formulations, fluoropolymers and customer process preferences constrain pricing. The hard-resin competitive market was acknowledged bymanagement. Higher glass-cloth capacity can release Denka's resin adoption bottleneck; it does not necessarily lower every supplier's share. Power demand supports acetylene black andALSINK independently of optics demand, but the same datacenter build is not added twice to group revenue.

Risks and pre-committed tests

Four scored risk classes arequalification/substitution; conventional chemical and diagnostic-test cyclicality; environmental/closure liabilities; and funding/capex/FX. The September9Omi fire involved part of sand-drying equipment, with no injuries and shipment impact still under investigation in the issuer'sSeptember10notice. It does not prove a group-wide electronics outage. Ofuna contamination was disclosedAugust20 with contractual remediation arrangements transferred alongside the property. Neither notice supplies a reliable new net liability above existing provisions.

A20%-probability¥1-5bn unforeseen cash-cost sensitivity, midpoint¥3bn, implies¥0.6bn extra claims and approximately¥7/share less equity value at current shares. This sensitivity is displayed explicitly; the active model doesnot invent a quantified production shortfall or extra liability without a net-loss bridge. The next filing's provisions, insurance recoveries and retained obligations are the test. Any documented additional borrowing or charges will change the claims once.

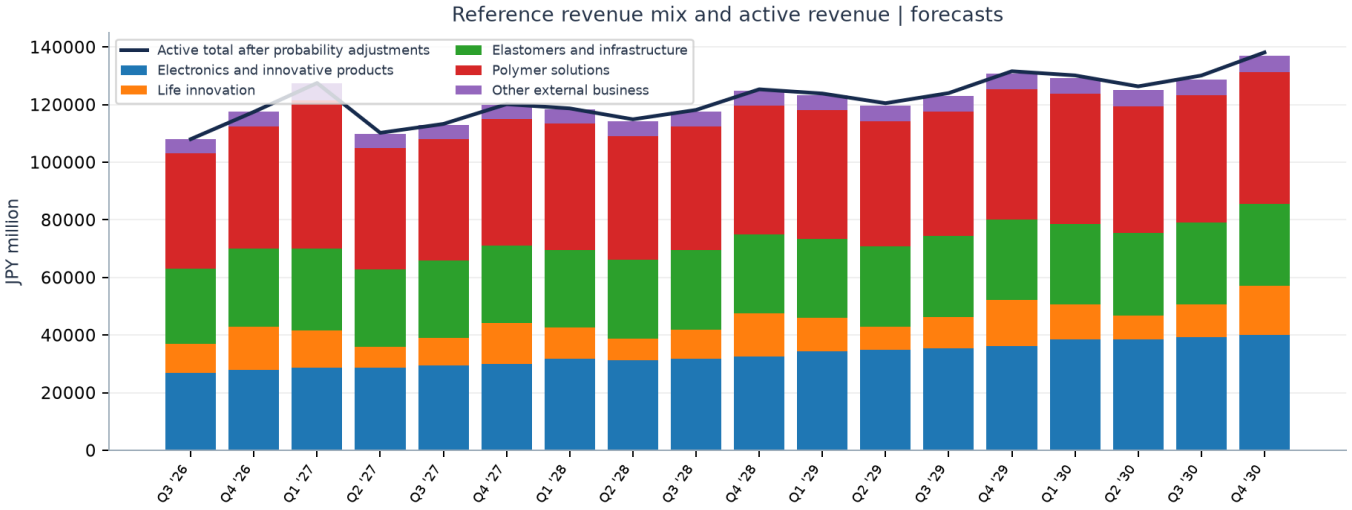
The nextinterimresults should determine whether electronics strength offsets inventory reversal and weak clinical testing. Accepted SNECTON shipments, low-loss silica mix, new-order price terms, Thailand qualification and capex cash are the operational checks. A favorable share-price move is not confirmation of any one of them. A falsified qualification or cash assumption reduces the model even if the sector narrative remains attractive.

The funding path is an adopted analytical schedule, not committed new lending. The workbook probability and share controls perform valuation sensitivities while holding that cash/debt schedule fixed. A substantive change in operating assumptions requires rebuilding working capital, taxes, borrowing and minority allocations before adoption.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	14	Qualified dielectric and filler formulations are valuable; group remains diversified and hard resin has competing alternatives.
Cycle	7	Soft-resin plant completed and evaluations underway, with downstream glass cloth setting recognition timing.
TAM	8	High-speed boards, memory thermal packaging, power cables and PFAS-free flexible materials share relevant chemistry; latter optionality is weighted.
Catalysts	4	November interim results, first substantial SNECTON shipments, FY2027 customer qualifications and Thailand acetylene-black ramp.
Macro	7	AI connectivity and power infrastructure demand offset cyclicality in elastomers, polymers and testing.
Alpha	3	Separate low-loss product adoption from headline chemical revenue and temporary inventory profit.
Risk classes	-4	Four distinct groups: qualification/substitution, legacy commodity and clinical-test cyclicality, environmental/closure liabilities, and funding/capex/FX.
Total	39/60	Rounded Base 65. Both artifact and new workbook row use this score; this is not a manual override.

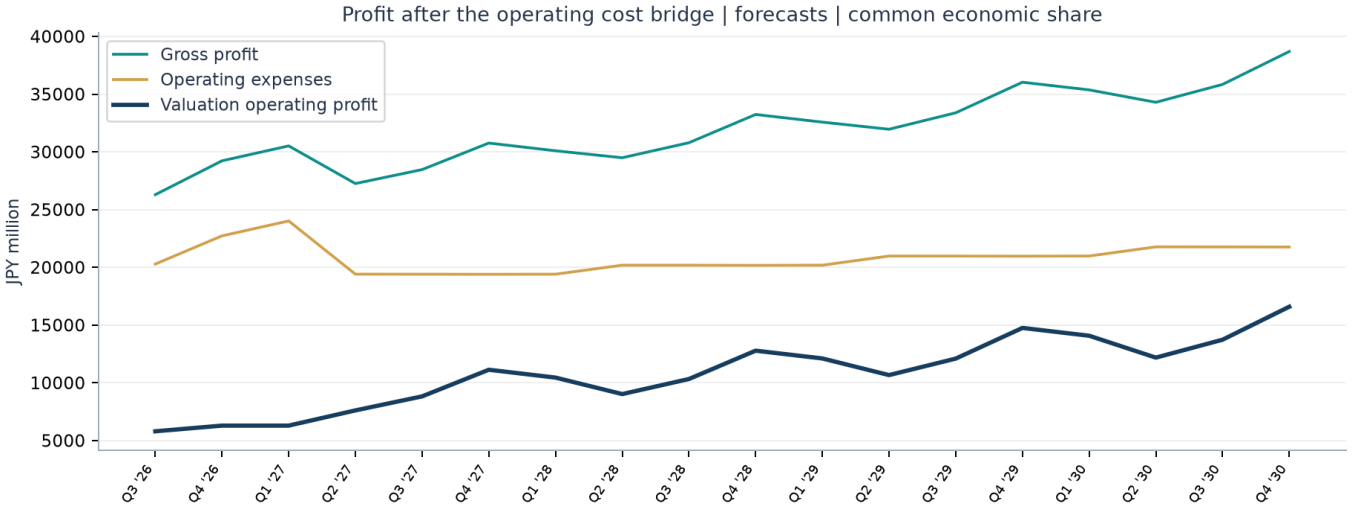
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	108,023.0	0.0	108,023.0
Q4 2026	117,500.0	0.0	117,500.0
Q1 2027	127,500.0	0.0	127,500.0
Q2 2027	109,830.0	383.2	110,213.2
Q3 2027	112,950.0	343.7	113,293.7
Q4 2027	119,890.0	262.3	120,152.3
Q1 2028	118,330.0	362.3	118,692.3
Q2 2028	114,305.0	598.4	114,903.4
Q3 2028	117,595.0	559.9	118,154.9
Q4 2028	124,835.0	477.4	125,312.4
Q1 2029	123,265.0	590.6	123,855.6
Q2 2029	119,530.0	968.2	120,498.2
Q3 2029	123,075.0	932.7	124,007.7
Q4 2029	130,740.0	850.2	131,590.2
Q1 2030	129,155.0	988.1	130,143.1
Q2 2030	125,000.0	1,338.1	126,338.1
Q3 2030	128,800.0	1,305.6	130,105.6
Q4 2030	136,900.0	1,223.1	138,123.1

Gross profit, operating expenses and earnings

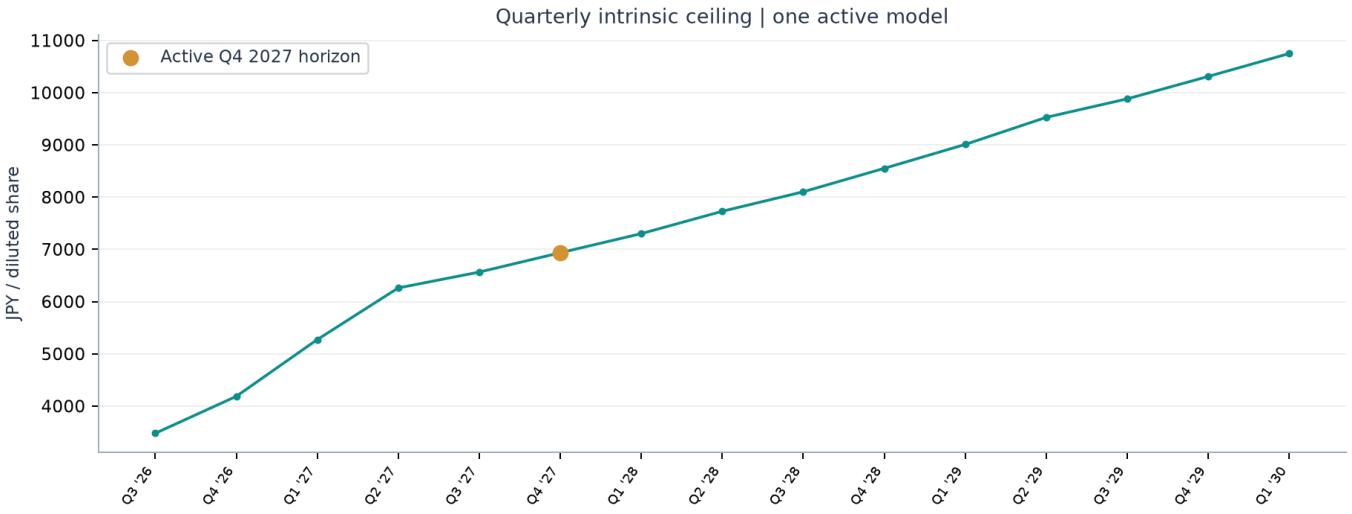


Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026 / Model assumption; guidance-calibrated	108,023.0	26,293.3	20,286.3	5,801.6	5.4%
Q4 2026 / Model assumption; guidance-calibrated	117,500.0	29,227.5	22,727.5	6,294.6	5.4%
Q1 2027 / Model assumption; guidance-calibrated	127,500.0	30,519.2	24,019.2	6,294.6	4.9%
Q2 2027 / Model assumption	110,213.2	27,257.2	19,410.4	7,611.4	6.9%
Q3 2027 / Model assumption	113,293.7	28,468.4	19,406.4	8,826.6	7.8%
Q4 2027 / Model assumption	120,152.3	30,765.0	19,398.2	11,131.4	9.3%
Q1 2028 / Model assumption	118,692.3	30,096.0	19,408.0	10,452.6	8.8%
Q2 2028 / Model assumption	114,903.4	29,493.4	20,188.0	9,025.0	7.9%
Q3 2028 / Model assumption	118,154.9	30,794.1	20,184.1	10,329.6	8.7%
Q4 2028 / Model assumption	125,312.4	33,240.3	20,175.8	12,784.2	10.2%
Q1 2029 / Model assumption	123,855.6	32,577.8	20,186.9	12,110.5	9.8%

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q2 2029 / Model assumption	120,498.2	31,961.0	20,981.0	10,669.7	8.9%
Q3 2029 / Model assumption	124,007.7	33,385.6	20,977.4	12,097.9	9.8%
Q4 2029 / Model assumption	131,590.2	36,034.0	20,969.0	14,754.6	11.2%
Q1 2030 / Model assumption	130,143.1	35,370.9	20,982.6	14,077.9	10.8%
Q2 2030 / Model assumption	126,338.1	34,296.4	21,773.9	12,182.1	9.6%
Q3 2030 / Model assumption	130,105.6	35,844.2	21,770.6	13,733.3	10.6%
Q4 2030 / Model assumption	138,123.1	38,693.6	21,762.3	16,590.9	12.0%

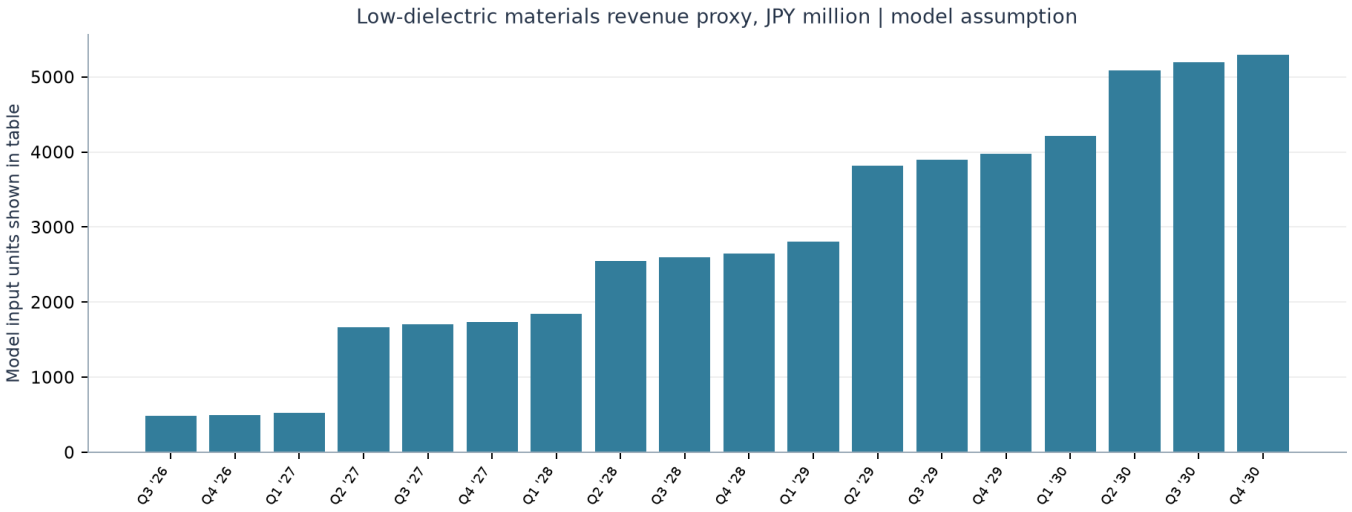
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	26,002.3	20x	86.362	3,478.85
Q4 2026	Q4 2026 to Q3 2027	29,027.3	20x	86.416	4,186.46
Q1 2027	Q1 2027 to Q4 2027	33,864.1	20x	86.470	5,272.96
Q2 2027	Q2 2027 to Q1 2028	38,022.0	20x	86.524	6,262.09
Q3 2027	Q3 2027 to Q2 2028	39,435.7	20x	86.578	6,565.61
Q4 2027	Q4 2027 to Q3 2028	40,938.7	20x	86.632	6,935.71
Q1 2028	Q1 2028 to Q4 2028	42,591.5	20x	86.686	7,301.60
Q2 2028	Q2 2028 to Q1 2029	44,249.3	20x	86.740	7,729.73
Q3 2028	Q3 2028 to Q2 2029	45,894.0	20x	86.794	8,102.87
Q4 2028	Q4 2028 to Q3 2029	47,662.2	20x	86.849	8,551.71
Q1 2029	Q1 2029 to Q4 2029	49,632.6	20x	86.903	9,009.50
Q2 2029	Q2 2029 to Q1 2030	51,600.0	20x	86.957	9,528.39
Q3 2029	Q3 2029 to Q2 2030	53,112.5	20x	87.011	9,882.32
Q4 2029	Q4 2029 to Q3 2030	54,747.8	20x	87.066	10,311.38
Q1 2030	Q1 2030 to Q4 2030	56,584.2	20x	87.120	10,750.26

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Low-dielectric materials revenue proxy, JPY million	Status
Q3 2026	490.000	Model assumption; guidance-calibrated
Q4 2026	500.000	Model assumption; guidance-calibrated
Q1 2027	530.000	Model assumption; guidance-calibrated
Q2 2027	1,668.000	Model assumption
Q3 2027	1,702.750	Model assumption
Q4 2027	1,737.500	Model assumption
Q1 2028	1,841.750	Model assumption
Q2 2028	2,544.000	Model assumption
Q3 2028	2,597.000	Model assumption
Q4 2028	2,650.000	Model assumption
Q1 2029	2,809.000	Model assumption
Q2 2029	3,816.000	Model assumption
Q3 2029	3,895.500	Model assumption
Q4 2029	3,975.000	Model assumption
Q1 2030	4,213.500	Model assumption
Q2 2030	5,088.000	Model assumption
Q3 2030	5,194.000	Model assumption
Q4 2030	5,300.000	Model assumption

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin, except explicitly labeled zero-sales cost credits. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Electronics and innovative products	27,000.0	34.0%	9,180.0
Q3 2026	Life innovation	10,000.0	40.0%	4,000.0
Q3 2026	Elastomers and infrastructure	26,000.0	23.5%	6,110.0
Q3 2026	Polymer solutions	40,023.0	14.5%	5,803.3
Q3 2026	Other external business	5,000.0	24.0%	1,200.0
Q4 2026	Electronics and innovative products	28,000.0	34.0%	9,520.0
Q4 2026	Life innovation	15,000.0	40.0%	6,000.0
Q4 2026	Elastomers and infrastructure	27,000.0	23.5%	6,345.0
Q4 2026	Polymer solutions	42,500.0	14.5%	6,162.5
Q4 2026	Other external business	5,000.0	24.0%	1,200.0
Q1 2027	Electronics and innovative products	28,623.0	34.0%	9,731.8
Q1 2027	Life innovation	13,006.0	40.0%	5,202.4
Q1 2027	Elastomers and infrastructure	28,331.0	23.5%	6,657.8
Q1 2027	Polymer solutions	51,394.0	14.5%	7,452.1
Q1 2027	Other external business	6,146.0	24.0%	1,475.0
Q2 2027	Electronics and innovative products	28,800.0	35.5%	10,224.0
Q2 2027	Life innovation	7,140.0	40.5%	2,891.7
Q2 2027	Elastomers and infrastructure	26,750.0	24.0%	6,420.0
Q2 2027	Polymer solutions	42,140.0	15.0%	6,321.0
Q2 2027	Other external business	5,000.0	24.5%	1,225.0
Q3 2027	Electronics and innovative products	29,400.0	35.5%	10,437.0
Q3 2027	Life innovation	9,660.0	40.5%	3,912.3
Q3 2027	Elastomers and infrastructure	26,750.0	24.0%	6,420.0
Q3 2027	Polymer solutions	42,140.0	15.0%	6,321.0
Q3 2027	Other external business	5,000.0	24.5%	1,225.0
Q4 2027	Electronics and innovative products	30,000.0	35.5%	10,650.0
Q4 2027	Life innovation	14,280.0	40.5%	5,783.4
Q4 2027	Elastomers and infrastructure	26,750.0	24.0%	6,420.0

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2027	Polymer solutions	43,860.0	15.0%	6,579.0
Q4 2027	Other external business	5,000.0	24.5%	1,225.0
Q1 2028	Electronics and innovative products	31,800.0	35.5%	11,289.0
Q1 2028	Life innovation	10,920.0	40.5%	4,422.6
Q1 2028	Elastomers and infrastructure	26,750.0	24.0%	6,420.0
Q1 2028	Polymer solutions	43,860.0	15.0%	6,579.0
Q1 2028	Other external business	5,000.0	24.5%	1,225.0
Q2 2028	Electronics and innovative products	31,200.0	37.0%	11,544.0
Q2 2028	Life innovation	7,480.0	41.0%	3,066.8
Q2 2028	Elastomers and infrastructure	27,500.0	24.5%	6,737.5
Q2 2028	Polymer solutions	42,875.0	15.3%	6,559.9
Q2 2028	Other external business	5,250.0	25.0%	1,312.5
Q3 2028	Electronics and innovative products	31,850.0	37.0%	11,784.5
Q3 2028	Life innovation	10,120.0	41.0%	4,149.2
Q3 2028	Elastomers and infrastructure	27,500.0	24.5%	6,737.5
Q3 2028	Polymer solutions	42,875.0	15.3%	6,559.9
Q3 2028	Other external business	5,250.0	25.0%	1,312.5
Q4 2028	Electronics and innovative products	32,500.0	37.0%	12,025.0
Q4 2028	Life innovation	14,960.0	41.0%	6,133.6
Q4 2028	Elastomers and infrastructure	27,500.0	24.5%	6,737.5
Q4 2028	Polymer solutions	44,625.0	15.3%	6,827.6
Q4 2028	Other external business	5,250.0	25.0%	1,312.5
Q1 2029	Electronics and innovative products	34,450.0	37.0%	12,746.5
Q1 2029	Life innovation	11,440.0	41.0%	4,690.4
Q1 2029	Elastomers and infrastructure	27,500.0	24.5%	6,737.5
Q1 2029	Polymer solutions	44,625.0	15.3%	6,827.6
Q1 2029	Other external business	5,250.0	25.0%	1,312.5
Q2 2029	Electronics and innovative products	34,800.0	38.0%	13,224.0
Q2 2029	Life innovation	7,990.0	41.5%	3,315.9
Q2 2029	Elastomers and infrastructure	28,000.0	24.7%	6,916.0
Q2 2029	Polymer solutions	43,365.0	15.5%	6,721.6

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2029	Other external business	5,375.0	25.0%	1,343.8
Q3 2029	Electronics and innovative products	35,525.0	38.0%	13,499.5
Q3 2029	Life innovation	10,810.0	41.5%	4,486.1
Q3 2029	Elastomers and infrastructure	28,000.0	24.7%	6,916.0
Q3 2029	Polymer solutions	43,365.0	15.5%	6,721.6
Q3 2029	Other external business	5,375.0	25.0%	1,343.8
Q4 2029	Electronics and innovative products	36,250.0	38.0%	13,775.0
Q4 2029	Life innovation	15,980.0	41.5%	6,631.7
Q4 2029	Elastomers and infrastructure	28,000.0	24.7%	6,916.0
Q4 2029	Polymer solutions	45,135.0	15.5%	6,995.9
Q4 2029	Other external business	5,375.0	25.0%	1,343.8
Q1 2030	Electronics and innovative products	38,425.0	38.0%	14,601.5
Q1 2030	Life innovation	12,220.0	41.5%	5,071.3
Q1 2030	Elastomers and infrastructure	28,000.0	24.7%	6,916.0
Q1 2030	Polymer solutions	45,135.0	15.5%	6,995.9
Q1 2030	Other external business	5,375.0	25.0%	1,343.8
Q2 2030	Electronics and innovative products	38,400.0	38.5%	14,784.0
Q2 2030	Life innovation	8,500.0	42.0%	3,570.0
Q2 2030	Elastomers and infrastructure	28,500.0	25.0%	7,125.0
Q2 2030	Polymer solutions	44,100.0	15.5%	6,835.5
Q2 2030	Other external business	5,500.0	25.0%	1,375.0
Q3 2030	Electronics and innovative products	39,200.0	38.5%	15,092.0
Q3 2030	Life innovation	11,500.0	42.0%	4,830.0
Q3 2030	Elastomers and infrastructure	28,500.0	25.0%	7,125.0
Q3 2030	Polymer solutions	44,100.0	15.5%	6,835.5
Q3 2030	Other external business	5,500.0	25.0%	1,375.0
Q4 2030	Electronics and innovative products	40,000.0	38.5%	15,400.0
Q4 2030	Life innovation	17,000.0	42.0%	7,140.0
Q4 2030	Elastomers and infrastructure	28,500.0	25.0%	7,125.0
Q4 2030	Polymer solutions	45,900.0	15.5%	7,114.5
Q4 2030	Other external business	5,500.0	25.0%	1,375.0

Operating-cost derivation

Quarter	Research and development, expensed	Selling, administration and shared operating costs
Q3 2026	4,000.0	16,286.3
Q4 2026	4,000.0	18,727.5
Q1 2027	4,000.0	20,019.2
Q2 2027	4,250.0	15,125.0
Q3 2027	4,250.0	15,125.0
Q4 2027	4,250.0	15,125.0
Q1 2028	4,250.0	15,125.0
Q2 2028	4,500.0	15,625.0
Q3 2028	4,500.0	15,625.0
Q4 2028	4,500.0	15,625.0
Q1 2029	4,500.0	15,625.0
Q2 2029	4,750.0	16,125.0
Q3 2029	4,750.0	16,125.0
Q4 2029	4,750.0	16,125.0
Q1 2030	4,750.0	16,125.0
Q2 2030	5,000.0	16,625.0
Q3 2030	5,000.0	16,625.0
Q4 2030	5,000.0	16,625.0

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	SNECTON QUALIFIED ADOPTION	65%	0.0	0.0	0.0	0.0
Q3 2026	QUALIFIED SPECIALTY PRICE	35%	0.0	0.0	0.0	0.0
Q3 2026	ORGANIC FILLER ADJACENCY	25%	0.0	0.0	0.0	0.0
Q3 2026	LIFE TEST DEMAND SHORTFALL	40%	0.0	0.0	0.0	0.0
Q4 2026	SNECTON QUALIFIED ADOPTION	65%	0.0	0.0	0.0	0.0
Q4 2026	QUALIFIED SPECIALTY PRICE	35%	0.0	0.0	0.0	0.0
Q4 2026	ORGANIC FILLER ADJACENCY	25%	0.0	0.0	0.0	0.0
Q4 2026	LIFE TEST DEMAND SHORTFALL	40%	0.0	0.0	0.0	0.0
Q1 2027	SNECTON QUALIFIED ADOPTION	65%	0.0	0.0	0.0	0.0
Q1 2027	QUALIFIED SPECIALTY PRICE	35%	0.0	0.0	0.0	0.0
Q1 2027	ORGANIC FILLER ADJACENCY	25%	0.0	0.0	0.0	0.0
Q1 2027	LIFE TEST DEMAND SHORTFALL	40%	0.0	0.0	0.0	0.0
Q2 2027	SNECTON QUALIFIED ADOPTION	65%	720.0	324.0	72.0	163.8
Q2 2027	QUALIFIED SPECIALTY PRICE	35%	165.6	124.2	8.3	40.6
Q2 2027	ORGANIC FILLER ADJACENCY	25%	0.0	0.0	0.0	0.0
Q2 2027	LIFE TEST DEMAND SHORTFALL	40%	-357.0	-196.4	-35.7	-64.3
Q3 2027	SNECTON QUALIFIED ADOPTION	65%	735.0	330.8	73.5	167.2
Q3 2027	QUALIFIED SPECIALTY PRICE	35%	169.1	126.8	8.5	41.4

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2027	ORGANIC FILLER ADJACENCY	25%	0.0	0.0	0.0	0.0
Q3 2027	LIFE TEST DEMAND SHORTFALL	40%	-483.0	-265.7	-48.3	-86.9
Q4 2027	SNECTON QUALIFIED ADOPTION	65%	750.0	337.5	75.0	170.6
Q4 2027	QUALIFIED SPECIALTY PRICE	35%	172.5	129.4	8.6	42.3
Q4 2027	ORGANIC FILLER ADJACENCY	25%	0.0	0.0	0.0	0.0
Q4 2027	LIFE TEST DEMAND SHORTFALL	40%	-714.0	-392.7	-71.4	-128.5
Q1 2028	SNECTON QUALIFIED ADOPTION	65%	795.0	357.8	79.5	180.9
Q1 2028	QUALIFIED SPECIALTY PRICE	35%	182.8	137.1	9.1	44.8
Q1 2028	ORGANIC FILLER ADJACENCY	25%	0.0	0.0	0.0	0.0
Q1 2028	LIFE TEST DEMAND SHORTFALL	40%	-546.0	-300.3	-54.6	-98.3
Q2 2028	SNECTON QUALIFIED ADOPTION	65%	960.0	432.0	96.0	218.4
Q2 2028	QUALIFIED SPECIALTY PRICE	35%	175.7	131.8	8.8	43.0
Q2 2028	ORGANIC FILLER ADJACENCY	25%	250.0	112.5	50.0	15.6
Q2 2028	LIFE TEST DEMAND SHORTFALL	40%	-374.0	-205.7	-37.4	-67.3
Q3 2028	SNECTON QUALIFIED ADOPTION	65%	980.0	441.0	98.0	223.0
Q3 2028	QUALIFIED SPECIALTY PRICE	35%	179.3	134.5	9.0	43.9
Q3 2028	ORGANIC FILLER ADJACENCY	25%	250.0	112.5	50.0	15.6
Q3 2028	LIFE TEST DEMAND SHORTFALL	40%	-506.0	-278.3	-50.6	-91.1
Q4 2028	SNECTON QUALIFIED ADOPTION	65%	1,000.0	450.0	100.0	227.5
Q4 2028	QUALIFIED SPECIALTY PRICE	35%	183.0	137.2	9.2	44.8

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2028	ORGANIC FILLER ADJACENCY	25%	250.0	112.5	50.0	15.6
Q4 2028	LIFE TEST DEMAND SHORTFALL	40%	-748.0	-411.4	-74.8	-134.6
Q1 2029	SNECTON QUALIFIED ADOPTION	65%	1,060.0	477.0	106.0	241.2
Q1 2029	QUALIFIED SPECIALTY PRICE	35%	194.0	145.5	9.7	47.5
Q1 2029	ORGANIC FILLER ADJACENCY	25%	250.0	112.5	50.0	15.6
Q1 2029	LIFE TEST DEMAND SHORTFALL	40%	-572.0	-314.6	-57.2	-103.0
Q2 2029	SNECTON QUALIFIED ADOPTION	65%	1,440.0	648.0	144.0	327.6
Q2 2029	QUALIFIED SPECIALTY PRICE	35%	191.5	143.6	9.6	46.9
Q2 2029	ORGANIC FILLER ADJACENCY	25%	500.0	225.0	100.0	31.2
Q2 2029	LIFE TEST DEMAND SHORTFALL	40%	-399.5	-219.7	-40.0	-71.9
Q3 2029	SNECTON QUALIFIED ADOPTION	65%	1,470.0	661.5	147.0	334.4
Q3 2029	QUALIFIED SPECIALTY PRICE	35%	195.5	146.6	9.8	47.9
Q3 2029	ORGANIC FILLER ADJACENCY	25%	500.0	225.0	100.0	31.2
Q3 2029	LIFE TEST DEMAND SHORTFALL	40%	-540.5	-297.3	-54.1	-97.3
Q4 2029	SNECTON QUALIFIED ADOPTION	65%	1,500.0	675.0	150.0	341.2
Q4 2029	QUALIFIED SPECIALTY PRICE	35%	199.5	149.6	10.0	48.9
Q4 2029	ORGANIC FILLER ADJACENCY	25%	500.0	225.0	100.0	31.2
Q4 2029	LIFE TEST DEMAND SHORTFALL	40%	-799.0	-439.5	-79.9	-143.8
Q1 2030	SNECTON QUALIFIED ADOPTION	65%	1,590.0	715.5	159.0	361.7
Q1 2030	QUALIFIED SPECIALTY PRICE	35%	211.5	158.6	10.6	51.8

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2030	ORGANIC FILLER ADJACENCY	25%	500.0	225.0	100.0	31.2
Q1 2030	LIFE TEST DEMAND SHORTFALL	40%	-611.0	-336.1	-61.1	-110.0
Q2 2030	SNECTON QUALIFIED ADOPTION	65%	1,920.0	864.0	192.0	436.8
Q2 2030	QUALIFIED SPECIALTY PRICE	35%	207.4	155.5	10.4	50.8
Q2 2030	ORGANIC FILLER ADJACENCY	25%	750.0	337.5	150.0	46.9
Q2 2030	LIFE TEST DEMAND SHORTFALL	40%	-425.0	-233.8	-42.5	-76.5
Q3 2030	SNECTON QUALIFIED ADOPTION	65%	1,960.0	882.0	196.0	445.9
Q3 2030	QUALIFIED SPECIALTY PRICE	35%	211.7	158.8	10.6	51.9
Q3 2030	ORGANIC FILLER ADJACENCY	25%	750.0	337.5	150.0	46.9
Q3 2030	LIFE TEST DEMAND SHORTFALL	40%	-575.0	-316.2	-57.5	-103.5
Q4 2030	SNECTON QUALIFIED ADOPTION	65%	2,000.0	900.0	200.0	455.0
Q4 2030	QUALIFIED SPECIALTY PRICE	35%	216.0	162.0	10.8	52.9
Q4 2030	ORGANIC FILLER ADJACENCY	25%	750.0	337.5	150.0	46.9
Q4 2030	LIFE TEST DEMAND SHORTFALL	40%	-850.0	-467.5	-85.0	-153.0

Adopted funding and financial claims

This saved funding scenario includes cash taxes, interest, capital investment, working capital, distributions and closure cash. New borrowing is a modeled requirement, not confirmed lending. Probability controls hold this schedule fixed; an adopted operating revision must rebuild funding. Financial claims equal end debt less end cash plus isolated finance leases.

Quarter	Operating cash	Investment	New borrowing	Debt repaid	End debt	End cash
Q3 2026	7,464.8	10,866.7	1,597.3	0.0	239,473.3	35,000.0
Q4 2026	8,061.4	10,866.7	7,317.5	0.0	246,790.9	35,000.0
Q1 2027	7,947.6	10,866.7	3,118.6	0.0	249,909.4	35,000.0
Q2 2027	14,924.9	11,250.0	842.7	0.0	250,752.2	35,000.0
Q3 2027	12,285.9	11,250.0	0.0	836.4	249,915.7	35,000.0
Q4 2027	13,213.7	11,250.0	2,559.3	0.0	252,475.0	35,000.0
Q1 2028	14,157.6	11,250.0	0.0	2,708.1	249,766.9	35,000.0
Q2 2028	14,622.6	11,750.0	1,655.8	0.0	251,422.7	35,000.0
Q3 2028	14,307.2	11,750.0	0.0	2,357.7	249,065.0	35,000.0
Q4 2028	15,320.3	11,750.0	963.5	0.0	250,028.5	35,000.0
Q1 2029	16,323.3	11,750.0	0.0	4,373.8	245,654.7	35,000.0
Q2 2029	16,702.0	12,250.0	87.3	0.0	245,741.9	35,000.0
Q3 2029	16,505.5	12,250.0	0.0	4,056.0	241,686.0	35,000.0
Q4 2029	17,633.4	12,250.0	0.0	838.8	240,847.2	35,000.0
Q1 2030	18,711.2	12,250.0	0.0	6,261.7	234,585.6	35,000.0
Q2 2030	18,364.6	12,750.0	0.0	1,064.5	233,521.1	35,000.0
Q3 2030	18,135.6	12,750.0	0.0	5,186.1	228,335.0	35,000.0
Q4 2030	19,374.0	12,750.0	0.0	2,068.5	226,266.5	35,000.0

Common operating claim

Minority operating earnings are allocated within existing consolidated group profit and deducted once before valuation. These normalized subsidiary allocations are proxies; reported closure-related minority net losses are not capitalized as an owner benefit.

Quarter	Consolidated OP	Minority OP	Common OP	Finance leases	Net debt claim
Q3 2026	6,007.0	205.4	5,801.6	3,853.0	208,326.3
Q4 2026	6,500.0	205.4	6,294.6	3,853.0	215,643.9
Q1 2027	6,500.0	205.4	6,294.6	3,853.0	218,762.4
Q2 2027	7,846.8	235.4	7,611.4	3,853.0	219,605.2
Q3 2027	9,062.0	235.4	8,826.6	3,853.0	218,768.7
Q4 2027	11,366.8	235.4	11,131.4	3,853.0	221,328.0
Q1 2028	10,688.0	235.4	10,452.6	3,853.0	218,619.9
Q2 2028	9,305.4	280.4	9,025.0	3,853.0	220,275.7
Q3 2028	10,610.0	280.4	10,329.6	3,853.0	217,918.0
Q4 2028	13,064.5	280.4	12,784.2	3,853.0	218,881.5
Q1 2029	12,390.9	280.4	12,110.5	3,853.0	214,507.7
Q2 2029	10,980.0	310.4	10,669.7	3,853.0	214,594.9
Q3 2029	12,408.3	310.4	12,097.9	3,853.0	210,539.0
Q4 2029	15,064.9	310.4	14,754.6	3,853.0	209,700.2
Q1 2030	14,388.3	310.4	14,077.9	3,853.0	203,438.6
Q2 2030	12,522.5	340.4	12,182.1	3,853.0	202,374.1
Q3 2030	14,073.6	340.4	13,733.3	3,853.0	197,188.0
Q4 2030	16,931.3	340.4	16,590.9	3,853.0	195,119.5

Enterprise-to-equity reconciliation

20x rolling quarter-plus-next-three fully expensed operating profit attributable to common shareholders, less window-end modeled net financial debt, divided by window-end diluted common shares. Minority operating claims are deducted from each quarter before applying the multiple.

Valuation quarter	Claims date	Reference claims	Weighted change	Total claims used	Ceiling / share
Q3 2026	Q2 2027	219,605.2	0.0	219,605.2	3,478.85
Q4 2026	Q3 2027	218,768.7	0.0	218,768.7	4,186.46
Q1 2027	Q4 2027	221,328.0	0.0	221,328.0	5,272.96
Q2 2027	Q1 2028	218,619.9	0.0	218,619.9	6,262.09
Q3 2027	Q2 2028	220,275.7	0.0	220,275.7	6,565.61
Q4 2027	Q3 2028	217,918.0	0.0	217,918.0	6,935.71
Q1 2028	Q4 2028	218,881.5	0.0	218,881.5	7,301.60
Q2 2028	Q1 2029	214,507.7	0.0	214,507.7	7,729.73
Q3 2028	Q2 2029	214,594.9	0.0	214,594.9	8,102.87
Q4 2028	Q3 2029	210,539.0	0.0	210,539.0	8,551.71
Q1 2029	Q4 2029	209,700.2	0.0	209,700.2	9,009.50
Q2 2029	Q1 2030	203,438.6	0.0	203,438.6	9,528.39
Q3 2029	Q2 2030	202,374.1	0.0	202,374.1	9,882.32
Q4 2029	Q3 2030	197,188.0	0.0	197,188.0	10,311.38
Q1 2030	Q4 2030	195,119.5	0.0	195,119.5	10,750.26

The financial claims shown here are matched to the end of each four-quarter earnings window. Operating-quarter cash and claims schedules elsewhere show balances at their own quarter dates.

Claim decisions, overlap and triggers

SNECTON_QUALIFIED_ADOPTION

source: Denka Feb27 plan, May13 Q&A, Aug7 CFO presentation and Q&A

source date: 2026-08-07

status: Management qualitative guidance plus ASTRA numerical proxy

probability: 0.65

Conditional outcome: FY2027/28/29/30 low-dielectric materials sales 8000/12000/18000/24000 million JPY; FY2027 bounded 6000-10000, FY2028 10000-15000.

reference overlap: Reference already contains 5000/8000/12000/16000; subtract that amount. About 62.5%/66.7%/66.7%/66.7% of the conditional revenue is already in the reference.

financial bridge: Incremental sales x45% gross contribution less10% incremental qualification/support/R&D, then65%; FY2027 weighted OP682.5m, FY2028 910m. Production D&A remains in product COGS. No hard-resin volume added in FY2026.

rationale: Completed plant, shipped samples and M9/M10 testing support adoption; downstream glass cloth and qualification constrain timing.

counter evidence: Hard resin has several competing materials. Soft-grade rollout is dependent on customers and glass-cloth supply; issuer discloses no accepted tonnage or named award.

raise trigger: Accepted-volume disclosures and independent repeat customers; consider75% only after recurring production evidence.

reduce trigger: Two-quarter qualification slip or alternative resin adoption; reduce to40% and move revenue.

QUALIFIED_SPECIALTY_PRICE

source: August7 CFO discussion of variable and fixed-cost price negotiations; low-loss material demand

probability: 0.35

Conditional outcome: 2% net premium on30% of Electronics excluding modeled low-dielectric materials; bounded1-3% on20-40%.

reference overlap: Reference already includes cost pass-through and mix; this branch covers incremental scarcity spread on new/repriceable specialty orders only.

financial bridge: Cohort sales x2%; reserve25% of incremental revenue for input/expediting costs and5% selling support; weighted OP=increment x70%x35%.

counter evidence: August5 film-sheet price notice is cost recovery, not evidence of a2% scarcity premium; fixed contracts and competition restrict realization.

trigger: Disclosed specialty order terms and price-versus-cost reconciliation next November results.

ORGANIC_FILLER_ADJACENCY

source: August7 development presentation and management Q&A

probability: 0.25

Conditional outcome: Incremental organic-filler sales1/2/3bn FY2028/29/30; bound0.5-1.5bn FY2028.

reference overlap: Zero beforeFY2028; separate organic PFAS-free substitution outside existing inorganic and SNECTON reference. Do not count the whole flexible-laminate market.

financial bridge: Revenue x45% GP less20% launch/R&D support;25% event weighting.

counter evidence: Still development and evaluation, with no customer, qualified factory output or commercial price disclosed.

trigger: Qualification, manufacturable good-unit output and initial sales.

LIFE_TEST_DEMAND_SHORTFALL

source: August7 Q&A and Life Innovation commentary

probability: 0.4

Conditional outcome: 5% annual segment sales shortfall fromFY2027; bounded0-10%.

reference overlap: FY2026 guide and reducedFY2027 reference already reflect weak tests; branch is further weakness only.

financial bridge: Lost sales x55% gross contribution less10% selling-cost relief;40% weighting.

counter evidence: Vaccines and reagent consolidation diversify revenue; respiratory outbreaks can reverse test weakness.

trigger: Winter demand and distributor inventory.

DENKA_INVENTORY_AND_DPE

source: August7 CFO statement and May13 management Q&A

probability: 1.0

Conditional outcome: Q1 inventory uplift6bn and DPE year-on-year operating benefit3bn are reported components, not quarterly recurring growth.

reference overlap: 100% of FY2026 guide calibration. No additional annualization. DPE FY benefit6.2bn already included.

financial bridge: Zero extra modeled OP; DPE exceptional costs remain excluded from recurring OP but retained as a funding risk and sensitivity reserve.

trigger: Closure settlement, cash costs and inventory reversals.

DENKA_RECENT_RISKS

source: September10 Omi notice and August20 Ofuna notice

probability: 0.2

Conditional outcome: Sensitivity only: unforeseen aggregate extra cash settlement/repair1-5bnJPY; midpoint3bn,20%=>0.6bn financial claim reserve sensitivity.

reference overlap: No evidence to map the sand-drying incident to all electronics output; Ofuna arrangements were transferred with sale. Quantified sensitivity is not an asserted liability.

financial bridge: Active extra incident liability0 after bounded1-5bn net-cost attempt; known closure cash is separately funded.20%*3bn=600m extra financial-claim sensitivity, not an asserted new liability.

counter evidence: No injuries; product shipment impact under investigation. No updatedquantified liability located.

trigger: Next filing provision/insurance changes and Omi restart/product impact.

BROAD_CCL_BANK_THESIS

source: Prior To do low-loss packaging research; current Denka primary record

probability: 0.65

Conditional outcome: See bounded SNECTON and specialty-pricing branches.

reference overlap: 100% overlap with those same product cohorts; no second AI/CCL market uplift.

financial bridge: Zero separate increment; shares, market-wide TAM and competitor bank forecasts are not Denka invoices.

Remaining bounded uncertainties

- Product tonnage/ASP and SNECTON accepted output are undisclosed. Revenue/GM allocations are bounded analytical proxies, not issuer segment margins.

- November results must reconcile FY2026 guide against inventory reversal, clinical tests and acetylene feedstock.

- DPE settlements, Omi shipment impact and net Ofuna retained liability need later filing evidence.

- June finance-lease liability is not separately disclosed; March31 actual3853m is retained with a +/-3000m claim sensitivity. Confirm in interim notes.

- NCI subsidiaries do not publish attributable recurring OP in the consolidated filings. The dated ownership-based revenue/margin proxies and0.5-2x sensitivity are analytical assumptions.

- Future capex, cash tax, working-capital intensity, interest and closure cash are explicit model assumptions; funding outputs are not management debt guidance.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Q1 2026 financial | https://www.denka.co.jp/eng/pdf/ir/library/20260807_denka_ir_fs_en.pdf | Archived SHA-256: 6a49f0f98d0ed5b4bc0f2f45503a630feae56207dbab8e6b6082748902693825

[2] Q1 2026 deck | https://www.denka.co.jp/eng/pdf/ir/library/20260807_denka_ir_materials_en.pdf | Archived SHA-256: 7132c637915ad529186993732824205eda112f90484c24969338c0bea2bceb73

[3] Q1 2026 script | https://www.denka.co.jp/eng/pdf/ir/library/20260807_denka_ir_materials_script_en.pdf | Archived SHA-256: 09d9b03136fd24fb2ac2f7b63290e15545afb1960688463861c11645fac36b56

[4] Q1 2026 QA | https://www.denka.co.jp/eng/pdf/ir/library/20260807_denka_ir_conference_qa_en.pdf | Archived SHA-256: 5d7f1f97ce92b29209c2e6ee1c5658a5c2cf396dce480075cdc9027aae52c22a

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[6] FY25 Q4 QA | https://www.denka.co.jp/eng/pdf/ir/library/20260513_denka_ir_conference_qa.pdf | Archived SHA-256: 14c4d8b1239a6c352eb08727cd272cc513d756299803c7cfb6098151c1e9de75

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[9] Snecton plant 20260518 | https://www.denka.co.jp/storage/news/pdf/1403/20260518_snecton.pdf | Archived SHA-256: 6a51756521b9702f41ef883d6316bf2acc540670651ebe63b9b8fecaa169af5f

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[11] Tokyo common-share close | 2026-10-09 | https://finance.yahoo.co.jp/quote/4061.T/history

[12] FY2025 Japanese securities filing, lease schedule and subsidiary ownership | https://www.denka.co.jp/storage/news/pdf/1413/20260617_denka_167th_annual.securities_report2.pdf | Archived SHA-256: 09bdc4f911bb053c62f72db5c4f0fba110cdf9dc5c91e39445804f2dcfcf8983